TEACHER GUIDE DRAFT

IB Diploma Programme Business management HL

Promotion

Unit 4: Marketing

4.5 The seven Ps of the marketing mix: promotion



A revision lesson. Pupils run a car dealership in firms of four and revise promotion on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min | **45 min** | 60 min | 75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same.

1 Ad return as %

Round 1

Was the advert worth it?

Profit from the advert, as % of its cost?

The advert costs	**£3,500**
Extra sales from it	**7 cars**
Margin per car	**£1,225**

ANSWER

145%

(7 × £1,225 − £3,500) ÷ £3,500 = 145%

Why: Every £1 spent on the advert brought back £2.45.

2 Judge the campaign

Round 1

You must judge an online advert campaign.

Which two measures show its value best?

- **A** Number of likes
- **B** Cost per sale
- **C** How many people saw it
- **D** Number of clicks
- **E** Profit from the sales it brought

ANSWER

✓ Cost per sale
✓ Profit from the sales it brought

Why: Value is in sales and profit; clicks and views do not pay the bills.

3 Return on spend

Round 2

Three campaigns: what each cost, and the contribution it brought.

Order by return on spend, highest first?

- **A** £1,000 spent, brings £1,600
- **B** £2,500 spent, brings £3,500
- **C** £500 spent, brings £1,000

ANSWER

1. **£500 spent, brings £1,000**
2. **£1,000 spent, brings £1,600**
3. **£2,500 spent, brings £3,500**

Why: Return: 100%, 60%, 40%. The biggest profit in pounds has the lowest return.

Topic tasks

4 Enquiries to profit

Round 2

Enquiries from an advert.

Profit from the advert?

The advert costs	**£3,475**
Enquiries it brings	**30 plain**
Conversion rate	**20%**
Margin per car	**£1,830**

ANSWER

£7,505

20% × 30 = 6; 6 × £1,830 – £3,475 = £7,505

Why: A 20% conversion turns 30 enquiries into 6 sales.

5 Answer a price cut

Round 3

Your firm is known for the best service in town. A rival cuts its prices by 10%.

How should you respond, and why?

A Promote your service, keep prices

B Match the 10% price cut

ANSWER

✔ Promote your service, keep prices

Why: A price war cuts every margin; promoting what makes you different keeps loyal buyers.

6 Best advert return

Round 3

Which pays back more?

Higher of the two: profit as % of cost?

Radio advert, 70 enquiries	**£4,500**
Social advert, 40 enquiries	**£4,500**
Conversion rate	**10%**
Margin per car	**£2,025**

ANSWER

215%

Radio 215%, social 80%

Why: Compare return on spend, not just profit.

Final questions

Each pupil answers 6 final questions on promotion. They come from these 8 questions.

1 Customers choose a dealer over a cheaper rival because of its well-known name, logo and long reputation, not any one feature. What is this?

✔ **Its brand**

2 A £6,000 social media campaign brings 240 enquiries. What is the cost per enquiry?

✔ **£25**

3 A promotion budget of £36,000 is split 45% digital, 30% local radio and the rest events. How much goes to events?

✔ **£9,000**

4 A campaign cost £15,000 and led to 60 extra sales at £400 profit each. What is the campaign's net return?

✔ **£9,000**

5 A dealer offers a free first service with every used car bought this month. Which promotional method is this?

✔ **Sales promotion**

6 A dealer's open day is reported free of charge by the local newspaper. Which element of the promotional mix produced this?

✔ **Public relations**

7 A dealer sells wheelchair-accessible vehicles across the whole UK. Which promotion gives the best reach for the budget?

✔ **Targeted online adverts to people searching for them**

8 A dealer group has just rebranded. Its first campaign aims to make people recognise the new name. Which promotional objective is this?

✔ **Raising awareness**